MIC Global Risks



Disciplinary Policy & Procedure

November 2025

V1.1

POLICY PURPOSE

This policy applies to all Colleagues at the Company and offers clarity on how the Company will handle disciplinary matters and the sequence of events that all colleagues should be aware of.

APPLICABILITY/SCOPE

The Company has disciplinary authority over Colleagues in the Company's service and exercises it in relation to disciplinary offences committed. It is important that all employees understand, disciplinary authority is exercised directly by the Management of the Company or by the Managers of the enterprise, by delegation of an express power with the support of Human Resources.

GENERAL POLICY STATEMENT

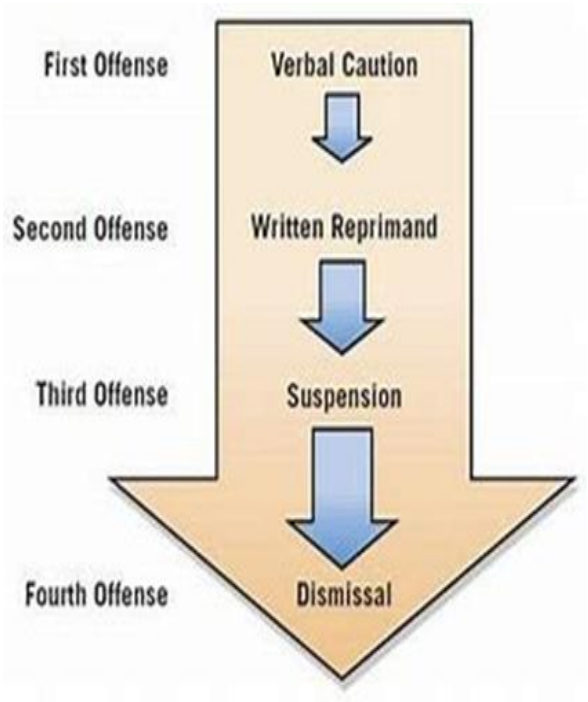
The Group expects the highest standards of discipline from its employees together with satisfactory standards of work & performance.

Employees are expected to be guided by the Company's Code of Conduct & Ethics, Employee Handbook, or this Disciplinary Policy & Procedure (among other company policies).

If the standard of conduct or work remains below what is required, then disciplinary action will be taken which may result in termination from employment.

DISCIPLINARY PROCEDURE

The disciplinary procedure aims to give the offending employee an opportunity to be heard and an opportunity to rectify the below-par situation. Therefore, except in cases of gross or severe misconduct, the following disciplinary procedure will apply:



1. Verbal caution
2. Written warnings
3. Suspension
4. Termination from employment

1. Verbal Cautions

A formal verbal caution may be given for minor breaches of discipline or failure to achieve satisfactory standards of conduct. An example of such an offence may be – being late for work on more than one occasion for no good reason, unwelcoming or unprofessional behaviour, or below par short-term job performance.

The verbal caution will be placed in the personal file of the concerned employee (in Human Resources) and is considered as stage one of the disciplinary process.

The verbal caution will be valid for no longer than twelve (12) months if the colleague has no further disciplinary matters within this period.

Procedure for verbal Cautions

1. Manager will meet with the employee in question over a formal session
2. Manager will give the employee the details of the alleged offence
3. Manager will request the employee for verbal feedback on the issue in the formal session followed by written communication & feedback via a signed letter or company email
4. Manager will review the response and see if any further action may be needed
5. If further action is needed, Manager will advise the employee to amend the fault verbally and follow up the same feedback, in writing with a copy to Human Resources
6. Employee must be advised that further and/or similar misconduct, may result in more serious disciplinary action.

2. Written Warnings

A written warning may be issued if there has been no improvement from the minor misconduct or after verbal caution has been previously issued.

A first written warning may be issued as a first step, in the case of an employee who has no current warnings on file – but whose offence is sufficiently serious to warrant skipping the Verbal Caution stage, but also, is not tantamount to the Gross Misconduct category that may warrant termination/dismissal (page 8).

Some examples may include being rude to clients and/or other employees, continuously being late for work, inappropriately socializing with clients or employees, not following reasonable instructions from a supervisor etc.

It is important that at each step of the warning processes (First to Final Warnings), an employee **is given an opportunity to be heard**. As such, a show cause letter will be drafted by the Manager in consultation with Human Resources and signed off by both, before being issued to the employee.

The employee will have 48 hours (2 working days) to respond to the show cause letter in writing via a signed letter or company official email. Thereafter, deliberations will be made by management, keeping in mind the employees' response to the show cause letter.

In the event a warning letter is needed, all proposed written warnings will be drafted by the Manager in consultation with Human Resources and signed off by the Head of Human Resources and Manager before being issued to the employee.

A written warning will contain the following details;

1. Details of the misconduct
2. Reference to a specific and relevant disciplinary policy or laws that have been breached
3. Details of corrective action required of the employee and the timeframe (if needed)
4. The intended action if the employee's conduct does not improve to the desired level
5. Reference to the previous verbal caution given to the employee (if any)

A written warning issued after communication of this policy, will be rendered invalid if the above steps are not followed.

2.1 First Warning

If an employee commits a further offence over and above the written caution within a period of one (1) year or commits an offence that is sufficiently serious to warrant a higher reprimand, a first warning may be issued by the Manager in consultation with Human Resources.

A copy of the written warning is given to the employee, and another copy is kept in the employee's personal file.

First warning letter is valid for a period of twelve (12) months, from date of issue. Warning letters will influence the overall performance rating of an employee, for the year at hand.

2.2 Second Warning

For further recurrence of similar or multiple unrelated misconducts and after a first written warning had been issued within the past twelve (12) months, an employee may be subject to a second warning letter.

Second warning letter is valid for a period of two (2) years. Second warning letters will influence the overall performance rating of an employee, **only** for the first year it was issued.

2.3 Final warning

There are some instances where a final warning may be issued as a first reprimand or following a first warning, or in scenarios where an employee is currently serving a second warning letter. This is solely dependent on the severity or recurrence of a misconduct(s).

In other scenarios, an employee who has already received two warnings and commits a third misconduct, may be liable for termination from employment or summary dismissal.



Procedures Related to Final Warnings & Suspension from Duty

The application of a final warning, will be void unless it is preceded by a preliminary hearing of the colleague, following the procedure set out in the sections and articles below.

When the Management team considers that it must apply a disciplinary measure that may lead to a Final Warning or termination/dismissal, it must summon the colleague to a disciplinary hearing through a show cause letter. The show cause letter will include:

a) A detailed description of the alleged matters of which the colleague is accused

b) The day, time and place of the hearing, which must be held within fourteen (14) working days from the date of delivery of the show cause letter

c) Information that the colleague may be accompanied to the hearing, by another employee who also is a peer

d) Any relevant attachments or documents to aid the employee in preparing comprehensively for the disciplinary hearing

The show cause letter may be delivered to the colleague within the Company's offices, for which the employee must sign a copy of the show cause letter, certifying receipt in the presence of two witnesses.

If the colleague cannot be contacted for reasons connected with the perpetration of the alleged offence, the Management may, within ten (10) working days, immediately apply the disciplinary measure.

Suspension from duty during disciplinary measures (Process)

Suspension also referred to as interdiction or compulsory leave, occurs when an employee is instructed not to attend to their duties for a duration of time.

An employee is suspended pending completion of investigations into the disciplinary process. Normally, a suspension from duty may last up to 14 working days. In unique circumstances, this period may be extended to cover legitimate unforeseen circumstances.

Suspension is not a punishment but merely necessary for precautionary measures, where the employee presence in the office may hinder the investigations/ disciplinary process or may be needed to protect the mental wellbeing of the employee.

A suspended employee remains an employee of the company, and their employment rights continue while on suspension.

Procedures Related to Disciplinary Hearings

1. The employer will give an employee a show cause letter, giving him/her an opportunity to explain their actions in writing. The employee will be given 48 hours to respond.
2. The Employer will give an employee a written notice of the date, time and place of the disciplinary hearing, which will normally be held between three and ten working days after receipt of a written notice.
3. The hearing will be officiated by a disciplinary committee.
4. An employee must take all reasonable steps to attend the hearing. Failure to attend without good reason may be treated as a misconduct. If an employee cannot attend the hearing at the specified time, they should inform the Employer 48 hours before the hearing date and seek agreement of an alternative date and time.
5. The purpose of the disciplinary hearing is to give the employee an opportunity to be heard, review the evidence brought forward and to enable the employee to respond to any allegations that have been made against them. If an employee opts to attend the disciplinary hearing with another employee who is a peer, they will be free to ask questions but should not answer questions on behalf of the accused employee. At no point should the peer disrupt disciplinary hearing proceedings or behave in an inciteful manner.
6. Within 5 working days of the disciplinary hearing ending, the Employer will inform the employee in writing of its decision (including details of any misconduct that the Employer considers the employee may have committed and the disciplinary sanction to be applied) together with reasons for the Employer's decision.

Interview of Colleague – Disciplinary Hearing

During the hearing, the Employer appoints a disciplinary committee management team.

During the hearing, the Management or representative will state the reasons for the disciplinary hearing and measures they intends to apply and will listen to the explanations and justifications presented by the colleague.

The hearing must be recorded in writing (disciplinary minutes) and the record must be signed by the parties, including the witnesses, within 72 hours of the disciplinary hearing or before the final decision is communicated.

If the colleague fails to attend the disciplinary hearing with good reason due to an unforeseen circumstance, but the person chosen as a peer appears, according to the justification presented by the latter, the disciplinary hearing may be postponed for up to five (5) working days, and the colleague will be notified in person.

If neither the colleague nor his/her representative appears and the colleague does not justify their absence within three (3) working days following, the Management of the company, at the end of this period, may decide immediately on the disciplinary measure to be applied.

Application of Disciplinary Measures

A disciplinary measure would be decided not before one working day but not later than Five (5) working days after the date of the hearing was held.

The employee will be notified of the measure applied within five (5) working days following the decision and the communication will mention the act/policy/infraction of which the colleague is accused, the consequences of those acts, the result of the disciplinary hearing and the final penalty decision, all in writing from Human Resources in the presence of the Manager.

Performance Related Disciplinary Measures

In situations where an employee's performance is consistently below par, a Performance Improvement Plan model may be initiated following a rating of "Poor Performance" in the **year end** annual review process.

A Performance Improvement Plan would be officially issued by the manager in the presence of the Head of Human Resources and is expected to last for a period of three months, with monthly written reviews being held between the manager and employee.

If after three months an employee fails in their Performance Improvement Plan, they will be liable for immediate termination from employment. In some cases where improvement on majority of the points within the Performance Improvement Plan is noted, the same may be extended for a final period of three (3) months.

An employee placed on a Performance Improvement Plan will have their final performance rating for the year, adversely affected.

Gross Misconduct – Termination/ Summary Dismissal

Dismissal will take place if an act of Gross Misconduct is committed. Some examples may include;

1. Theft from the company, other Colleagues, contractors, suppliers, clients or guests.
2. Fighting, threatening or striking another colleague or client including abusive language
3. Forgery, misrepresentation, falsification of records
4. Unauthorized access to, disclosure of, theft of, or misuse of personal data or confidential information in breach of the Company's data protection policies, the Data Protection Act, GDPR or other applicable data protection regulations
5. Refusing to carry out reasonable instructions from a supervisor
6. Being under the influence of an intoxicant, drugs or illegal substances
7. Wilful damage to company property
8. Hacking, unauthorized access to company systems or networks, introduction of malicious software, viruses or any other cybersecurity breach that compromises the Company's digital infrastructure, data or operations
9. Gross negligence of colleague's responsibilities. This may be related to daily tasks or cash related responsibilities
10. Sharing, disclosing or communicating confidential information, trade secrets, business strategies, client data or any other business-related information with competitors or third parties without prior written approval from the Chief Executive Officer/ Vice Chairman
11. Failing to attend work without a justifiable reason
12. Actions constituting criminal offences towards the company or its employees
13. Engaging in outside business activities that conflict with the Company's interests
14. Immoral behaviour, i.e. sexual misconduct or harassment
15. Partaking in corrupt practices that may include receiving or giving bribes among others
16. Being in the possession of dangerous weapons or animals within the Company's transport, premises or function the Company is undertaking
17. Being disrespectful or insulting towards Colleagues, clients, guests, suppliers etc
18. Accessing unauthorized areas within the company or its premises where you are not authorized by the relevant authority
19. Calling a meeting with other colleagues without first obtaining written permission from the Chief Executive Officer or authorized designate
20. Posting of unauthorized notices, emails or social media posts pertaining to materials, processes or information about the company, its clients or any individual in business with the Company without prior written approval from the Chief Executive Officer
21. Sleeping while on duty
22. Incitement, intimidation, false statements, defamation or threatening behaviour on company property, its management or to other colleagues by any person
23. Being dishonest.
24. Acting in a manner that is inconsistent with a colleague's obligations to Company
25. Committing any act of gross misconduct or repeats/continues (after written warnings) any other serious breach of the Employee's obligations under their Contract of Employment
26. Is convicted of any criminal offence (excluding an offence under road traffic legislation) for which the Employee is sentenced to any term of imprisonment whether immediate or suspended

27. Is in the reasonable opinion of the Company incompetent in the performance of the Employee's duties

28. If an employee is rendered bankrupt or has been flagged by the credit reference bureau

The above does not fully encompass all possible misconducts that may result in immediate termination/summary dismissal.

Right of a Colleague to Appeal

A colleague may appeal against a disciplinary measure if they consider that they did not commit the acts of which they stands accused, when the measure applied in their opinion is excessive for the acts committed, or that the disciplinary measure is null & void.

The employee should let the Company know the grounds for their appeal against the disciplinary measures in writing within fourteen (14) working days following the notification of the same measures.

An appeal hearing will be held without unreasonable delay and ideally at an agreed time within the Company's premises.

The appeal hearing will be dealt with impartially by leaders who were not part of the previous disciplinary process.

The appeal committee will inform the employee (or former employee) of the results of the appeal process as set out in the timeframes stated above (Procedures related to disciplinary hearings).

Key Points to the Disciplinary Process

1. The Head of Human Resources must be consulted at all stages of the disciplinary procedure.
2. The Head of Department needs to notify the Head of Human Resources in writing of a potential disciplinary breach as soon as it comes to their attention, for the processes above to commence.
3. Disciplinary action will not be carried out on hearsay and impressions. This involves having indisputable facts or initial facts that may need further investigations to gain the whole picture. The Human Resources Department is responsible for coordinating the disciplinary process and for keeping close communication with the Department Head.
4. Disciplinary action can still be taken if the Manager, Human Resources Representative or disciplinary committee are convinced that a breach of conduct has been made, even if the colleague does not agree with the decision.

Further Action by the Company

The Company has the right to claim compensation from an employee/ terminated employee for damage suffered by virtue of their wrongful conduct or to bring criminal proceedings, if their actions constitute an offence under criminal law. This will be carried out after all internal disciplinary processes have been finalized.